BRIEF - Friday, May 29, 2026

HEADLINE OF THE DAY

Global markets end the week on a strong note: the S&P 500 gains +1.87% at 7,585, the NASDAQ surges +2.66% to 26,993, driven by the AI rally and hopes of a lasting Iran truce. The VIX collapses -8% to 15.26. Gold soars to 4,597 (+2.15%) while oil plunges: WTI -7.75% to 86.61, Brent -9% to 90.61. Donald Trump promises a "final decision" on the Iran deal today.

GLOBAL SENTIMENT

VIX ? 15.26 (-8.02%) | ? Very low - euphoria

DXY ? 98.86 (-0.31%) | ? Weak

Gold ? 4,597 (+2.15%) | ? Safe haven in full force

US 10Y ? 4.43% (-1.31%) | ? Yields declining

US 2Y ? 3.585% (+0.08%) | ? Stable

US 30Y ? 4.977% (-0.97%) | ? Declining

US 5Y ? 4.127% (-1.34%) | ? Declining

S&P 500 ? 7,584.92 (+1.87%) | ? Rally

NASDAQ ? 26,993.11 (+2.66%) | ? Tech explosion

WTI ? 86.61 (-7.75%) | Collapse

Brent ? 90.61 (-9.01%) | Major collapse

BTC ? 73,911 (-4.36%) | Correction

Copper ? 6.392 (+0.49%) | ? Resilient

Silver ? 76.085 (-0.29%) | ? Neutral

Sentiment is resolutely risk-on. The VIX at 15.26 signals a near-absence of fear. Stocks and bonds are rising together (yields are falling), which is rare and indicates a massive flow into risky assets fueled by Iran hope. The paradox: gold is also rising despite the safe haven backdrop, as participants are positioning for accelerated dedollarization if the Iran deal materializes with the opening of the Strait of Hormuz. Oil is precisely collapsing on this anticipation - if the strait reopens, supply resumes. Bitcoin is correcting, with speculative positions being liquidated after the recent rally.

MACRO - WHAT MOVED

US

The **Chicago PMI** explodes to 62.7 in May vs 50.6 expected and 49.2 in April - a spectacular 13.5-point jump signaling a vigorous manufacturing recovery, the strongest expansion in months. This figure precedes the national ISM and could revise Q2 growth expectations higher.

The **Goods Trade Balance** narrows to -$82.4B in April vs -$86.7B expected, driven by record oil and petroleum product exports. US exporters are benefiting from the energy boom.

Wholesale inventories at +0.5% (vs +0.6% expected) and retail ex-auto at +0.6% - inventories are rebuilding normally, no signal of overstocking.

3 FOMC speakers today: Kashkari, Bowman, and Daly. Bowman stated it was "too early to judge the inflationary impact of the Iran war" - a hawkish position in principle, to ignore temporary shocks. Kashkari is traditionally hawkish, Daly more dovish.

Paul Tudor Jones declares there is "no chance" that Warsh will get rate cuts from the Fed - Trump's political pressure is running into bond market realities. **Yardeni** warns that the Fed will have to *raise* rates in July to appease the "bond vigilantes."

Kevin Warsh was sworn in as the new Fed Chair - Senate confirmation. His vision on Fed independence is causing "confusion and concern" among markets.

Core PCE at 3.3% annualized in April - above the 2% target, confirming inflationary persistence that complicates any cut.

Lyn Alden and Deutsche Bank strategists are raising their 10Y yield forecasts - growing consensus that rates will stay higher for longer.

****Eurozone****

Germany CPI May: 2.6% YoY vs 2.9% consensus - inflation is cooling significantly, the lowest in months. Monthly CPI is even negative at -0.2%. This is a strong signal for the ECB which could accelerate easing.

France GDP Q1: contraction of -0.1% QoQ vs 0.0% expected - France enters technical recession territory (second negative quarter if Q2 follows). Household consumption collapses -0.5% in April.

Spain CPI: 3.2% YoY (unchanged), HICP 3.6% - Spanish inflation remains the highest in the eurozone, complicating the ECB dovish argument.

Italy GDP Q1: growth of +0.3% QoQ, slightly above expectations (+0.2%) - the best student in the periphery for once. Italian labor market improving: unemployment at 5.1% vs 5.3% expected.

Switzerland KOF: 98.0 as expected - stable, neutral indicator.

ECB acting too late can be costlier, says Radev - an ECB member pushes for more aggressive action in the face of economic fallout from the Iran war.

****China & Asia****

Japan: Housing Starts +11.4% vs +14.7% expected - disappointing. Construction Orders collapsed to -32.3%. Household Confidence at 33.6 vs 32.3 (positive surprise). 2Y JGB auction at 1.369% vs 1.407% - the Japanese curve steepens slightly.

Canada: GDP Q1 at 0.0% QoQ, annualized at -0.1% vs +1.5% expected - Canada falls into technical recession (2nd negative quarter), for the first time since 2020. March GDP MoM at -0.1%. March budget balance catastrophic at -$29.7B vs +$5.7B previously.

Hong Kong M3 Money Supply accelerates to +3.1% - capital flows returning to the region.

Canada targets +50% exports to China - strategic pivot accelerated by Wang Yi's visit, the first visit in 10 years.

Bank of England speaking - BoE Governor Bailey speaks today.

****Emerging Markets****

Brazil GDP Q1: +1.1% QoQ vs +1.0% expected - solid rebound driven by agriculture and Lula's pre-election stimulus. Gross debt-to-GDP rises to 80.4%.

India: Bank Loan Growth accelerates to +16.2%, Deposits +12.2% - the Indian economy continues to overheat on the credit side. FX Reserves drop $7.5B to $681B - the RBI is defending the rupee.

New Zealand: ANZ Business Confidence jumps from -10.6 to 10.0 - spectacular reversal in NZ business sentiment.

GEOPOLITICS

Hot

Iran - Trump promises a "final decision": Donald Trump declared he would make a "final determination" on a truce extension agreement with Iran, with the key condition being free passage through the Strait of Hormuz. Oil markets are in "deal anticipation" mode - Brent is posting its largest monthly decline since 2020. The question is whether Iran will accept the restrictions the US wants to impose.

Chevron reports ship attacks in the Strait of Hormuz this week - despite truce talks, the reality on the ground remains violent. Merchant shipping continues to navigate in a high operational risk environment.

Russian drone strikes a building in Romania - NATO and Bucharest condemn the escalation. Two wounded. This is NATO territory potentially concerned - the risk of escalation is real.

Russia overspends on Putin's war by $28bn - the finance ministry has asked to freeze other spending. The Russian war machine is eating into the budget.

To watch

$1.4bn Taiwan arms deal delayed by Trump - mainly air defense systems. This is a major flashpoint in US-China relations, especially with China's offensive posture over Taiwan.

Russia-Armenia showdown at the Eurasian Economic Union - Russia rejects Armenia's rapprochement with Europe.

Pentagon Asia Command seeks new anti-ship weapons and advanced mines to deter China - military escalation in the Pacific.

Canada-China rapprochement in the context of the global trade war - if Canada succeeds in doubling its exports to China, it's a game-changer commodity-wise.

Positive

Iran truce optimism: The opening of the Strait of Hormuz would be a game-changer for global oil supply and would immediately reduce risk premiums in commodities. Markets partially believe it.

Rio Tinto: aluminum exports to the US are rebounding to pre-tariff levels - trade is finding its way despite Trump's tariffs.

EU approves EUR9bn Spanish electricity capacity mechanism - enhanced energy security for the Iberian Peninsula.

Internet reconnected in Iran after 88 days of digital blackout - the reconnection is a positive signal for negotiations.

FX FOCUS

`EUR/USD` ? 1.1677 (+0.30%) | ? Slightly bullish
`USD/JPY` ? 159.19 (+0.15%) | ? Stable, under BoJ pressure
`GBP/USD` ? 1.3470 (-0.09%) | ? Neutral, awaiting BoE Bailey

The dollar retreats moderately (-0.31% DXY) in a global risk-on context. The EUR benefits from the general dollar decline and mixed US data, but the US-Europe macro divergence (France in recession, Germany slowing) caps the move. The yen remains fragile at 159 - the BoJ is in very gradual normalization mode but the US-Japan rate differential continues to weigh. The pound is stable ahead of Bailey's comments today - the market prices a cautious BoE hold.

Pair to watch: `EUR/USD` - The Iran truce, if it materializes, could boost the EUR via the oil char

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COMMODITIES

Oil: WTI 86.61 (-7.75%) | Brent 90.61 (-9.01%)

Oil is experiencing its steepest correction in months. Hope for a lasting Iran truce and the reopening of the Strait of Hormuz - through which ~20% of global oil transits - is causing the geopolitical risk premium built into prices to collapse. Chevron confirmed ship attacks this week, but the market is looking ahead: a deal would mean a flood of Iranian oil (export capacity ~1.5M bpd currently constrained) and the disappearance of the $5-8/barrel premium. Paradox: US oil and gasoline inventories are in freefall this week (EIA), a fundamentally bullish factor that is being ignored by the technical move. The UAE has left OPEC, adding uncertainty on production discipline.

****Gold:** 4,597 (+2.15%)**

Gold continues its spectacular ascent, driven by three simultaneous engines: (1) central bank diversification demand (PBoC, RBI, etc.) accelerating purchases to reduce dollar exposure; (2) geopolitical tensions maintaining safe haven demand; (3) the decline in US real yields (the 10Y is falling while inflation remains sticky). Gold is now in uncharted territory above 4,500 - analysts are revising targets to 5,000+. Silver is slightly decoupling (-0.29%) suggesting the gold rally is more "monetary/tech" than "inflation/industrial."

****Silver/Copper:** Silver 76.09 (-0.29%) | Copper 6.39 (+0.49%)**

Copper is holding up better than silver, reflecting hopes of a manufacturing recovery (Chicago PMI 62.7). The gold/silver ratio is rising further, a sign that gold is playing a store-of-value role while silver suffers from industrial weakness.

****Soft:** CFTC data shows long positioning on soybeans (212K), wheat (neutral), corn (358K longs)**

TODAY'S AGENDA

08:30 - German Import Prices (YoY) - +5.3% prev +2.3%
09:00 - German Unemployment Change - **-12K (beat vs +11K)**
10:00 - French GDP Q1 - **-0.1% (miss vs 0.0%)**
10:00 - French CPI (YoY) - 2.4%
10:30 - German CPI (YoY) - **2.6% (beat vs 2.9%)**
13:30 - Canada GDP Q1 - **-0.1% annualized (miss 1.5%)**
14:30 - Chicago PMI - **62.7 (massive beat vs 50.6)**
14:30 - Goods Trade Balance - -82.4B (beat vs -86.7B)
15:00 - Brazil GDP Q1 - +1.1% (beat vs 1.0%)
All day - FOMC speakers: Kashkari, Bowman, Daly
All day - BoE Governor Bailey speaks
14:00 - Baker Hughes Rig Count - Oil 429, Total 562

THIS WEEK (June 1-6):
Monday 1st: Final Manufacturing PMIs (EU/UK/US), US Construction Spending
Tuesday 2nd: BOC Rate Decision (50bps cut?), EU PPI, US Factory Orders
Wednesday 3rd: US ADP Employment, ISM Services, BOC Rate Decision, ECB Rate Decision
Thursday 4th: US Jobless Claims, ECB Press Conference
Friday 5th: **US Non-Farm Payrolls** , Canada Employment, EU Retail Sales
FOMC meeting minutes (Wednesday)
ECB/Fed speakers throughout the week around the decisions

DEEP MACRO THEME OF THE DAY

*The Fed Republic vs. the Bond Vigilantes: The Great 2026 Showdown**

The dominant theme of this weekend is the head-on collision between Trump's political power (embodied by the appointment of Kevin Warsh to lead the Fed) and the market forces embodied by the "bond vigilantes." What is at stake is fundamental: Can the Fed be a tool of Trump's economic policy, or will the bond markets impose their discipline?

Warsh was appointed precisely because Trump wanted a more accommodative chair, one likely to lower rates to support growth and reduce the cost of US debt service (which now exceeds $1,000bn/year in interest alone). But the bond market doesn't see it that way. Yardeni warns of a rate hike in July. Paul Tudor Jones says "no chance" of cuts. Core PCE at 3.3% simply doesn't allow for an economic justification for easing in the context of resilient growth (Chicago PMI 62.7).

What makes the situation explosive: if Warsh tries to force cuts despite inflation, the bond vigilantes will sell Treasuries massively, pushing yields higher - exactly the opposite of the desired outcome. It's a self-defeating trap. On the other hand, if the Fed keeps rates high, the cost of debt will continue to accumulate, increasing US fiscal stress in an already tight context (deficit >6% of GDP).

The market is currently pricing a prolonged status quo: neither a hike nor a cut before September at the earliest. This is the most likely scenario. The irony? Warsh the hawk could end up being more hawkish than Powell. Warsh's early comments suggest he will defend the Fed's independence - which has "confused and worried" Trump's expectations. The question remains: will political loyalty ultimately prevail over monetary rigor? The coming weeks will be decisive, especially with next Friday's NFP as the first real test under the new Warsh era.

CONSENSUS VS. REALITY

****What the market is pricing:****

The Fed holds rates until September 2026 ? Likely. Inflation at 3.3% PCE, resilient growth - no imminent cut catalyst.
Iran will sign a deal with the US this week ? Uncertain. Trump promises a "final decision" but Iran has rejected US conditions in the past. The oil market is pricing in only ~60% probability of a comprehensive deal.
US inflation will re-accelerate due to the Iran war + tariffs ? Possible but timing uncertain. Core PCE 3.3%, rising tariffs, volatile oil - both paths are open over 3-6 months.
Canada will cut rates soon ? Almost certain. Technical recession confirmed, the BOC should ease by 25-50bps at the next meeting.
The ECB will cut rates by 25bps on June 5 ? Very likely. German inflation at 2.6%, eurozone slowing, and member Radev is pushing for more action.
Gold has reached a technical peak and will correct ? Bad timing. The structural drivers (central bank purchases, dedollarization, US deficits) are intact. Gold can consolidate but the uptrend remains.

The alpha:

1. **Long Gold / Short Oil spread** - Gold is rising on structural dedollarization while oil is falling on the Iran truce. This spread is historically extreme and should persist as long as Iran negotiations progress. Entry: GC/CL ratio > 50 (currently ~53). Target: 60+. Invalidation: Iran deal breakdown with strait closure.
2. **Short CADJPY** - Canada is in recession, the BOC should ease. Japan is gradually normalizing. Monetary policy divergence is bearish for CADJPY. Entry: at spot ~159 (CADJPY implied). Target: 155. Invalidation: BOC surprise hold or BoJ dovish pivot.
3. **Long S&P 500 vs Stoxx 600 (pairs trade)** - US outperformance confirmed by Chicago PMI 62.7 vs recessionary Europe. France -0.1%, Germany slowing. US tech + AI driving NASDAQ +2.66%. Continuation likely, especially if the Iran deal reinforces risk-on.
4. **Short EURCHF** - Dovish ECB, hawkish SNB expected. If the ECB cuts on June 5 (consensus) and the SNB holds, EURCHF should decline. Entry: ~0.9518 (derived spot 1.1677/0.7814). Target: 0.94. Invalidation: ECB hawkish hold surprise.

MERTON'S TAKE

We are in a **monetary transition regime** - neither purely hawkish nor dovish, but an unstable balance between Trump's political pressure (Warsh) and market resistance (bond vigilantes). This is the type of regime that generates violent moves in long-term rates and the dollar, even without an actual rate change. The 10Y falling today (-1.31%) does not mean the end of the cycle - it's a tactical move tied to Iran hope and the search for yield in a VIX at 15.

The key factor for next week will be the **NFP on Friday, June 5** - the first major data point under the new Warsh era. If the NFP prints strong (>200K), the market will further delay cut expectations, yields will rise, and gold may finally correct. If the NFP prints weak (<100K), the Warsh debate will immediately heat up - can he vote for a cut at his first meeting?

The other major catalyst will be the **ECB decision on Thursday, June 4**. The market prices a 25bps cut with ~80% probability. If the ECB confirms, the EUR should initially decline (bad news = EUR down in an easing environment). But the real driver will be Lagarde's forward guidance: if she signals this is just the beginning of a cycle, EUR/USD could test 1.15. If she remains data-dependent and cautious, the move will be limited.

Over the medium term (1-3 months), my conviction remains **bullish on gold** and **neutral-to-bearish on oil**. Gold fundamentally benefits from central bank dedollarization (PBoC bought 18 tonnes in April, a structural trend) while oil faces abundant supply (US shale, potential Iranian) and less vigorous demand (accelerated EV transition). The gold/oil ratio at ~53 is historically extreme - either oil rebounds, or gold continues to diverge.

On the **geopolitical front**, the Iran deal is the swing factor of the summer. If concluded, we would see: oil toward 75-80, EUR support, prolonged risk-on, and a possible rotation into emerging markets. If talks fail, WTI rises back toward 100+, gold accelerates beyond 5,000, the VIX rises toward 25+, and Treasuries sell off. This is the tail risk to watch.

*Recommended positioning:** Long gold (SL 4,400), neutral oil pending Iran deal confirmation, short CADJPY, and close NFP monitoring to adjust the Fed positioning. On the FX hedge book: long USD/short EUR on any rally toward 1.17.
*To avoid:** Bitcoin in technical correction (SL 70K), European small caps in a recessionary environment, and long-duration Treasury positions while the Fed debate is so uncertain.

Sources: Yahoo Finance API (18 tickers), Bloomberg Markets/Economics/Politics RSS, FT RSS Home, CNBC (Fed, World, Markets, Oil), Investing.com Economic Calendar (107 events), Polymarket API*
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